

market, regardless of its fundamentals. In short, they try to profit within the roller-coaster ride.

In comparison, the innovative investor diligently investigates the fundamentals of value for investing, and exits that investment when the markets no longer appear rational.

In our view, no matter the investment, it's important to discern when one is investing and when one is speculating. Benjamin Graham and David Dodd attempted to define the difference between investing and speculation in their book *Security Analysis*⁴: “An investment operation is one which, upon thorough analysis, promises safety of principal and a satisfactory return. Operations not meeting these requirements are speculative.”

In his book *The Intelligent Investor*,⁵ Graham recognized that speculation would always be present in the investing world, but he saw a need to distinguish between “good” and “bad” speculation.⁶ He wrote, “There is intelligent speculation as there is intelligent investing. But there are many ways in which speculation may be unintelligent.”

While speculators have often been scorned, they were perhaps most famously denigrated by Franklin D. Roosevelt in his inaugural address on March 4, 1933. As America was struggling through the Great Depression, which many pinned on the stock market crash of 1929, there was strong resentment against speculators. Every crisis loves a scapegoat. In his speech, Roosevelt called them “money changers” to invoke religious judgment: